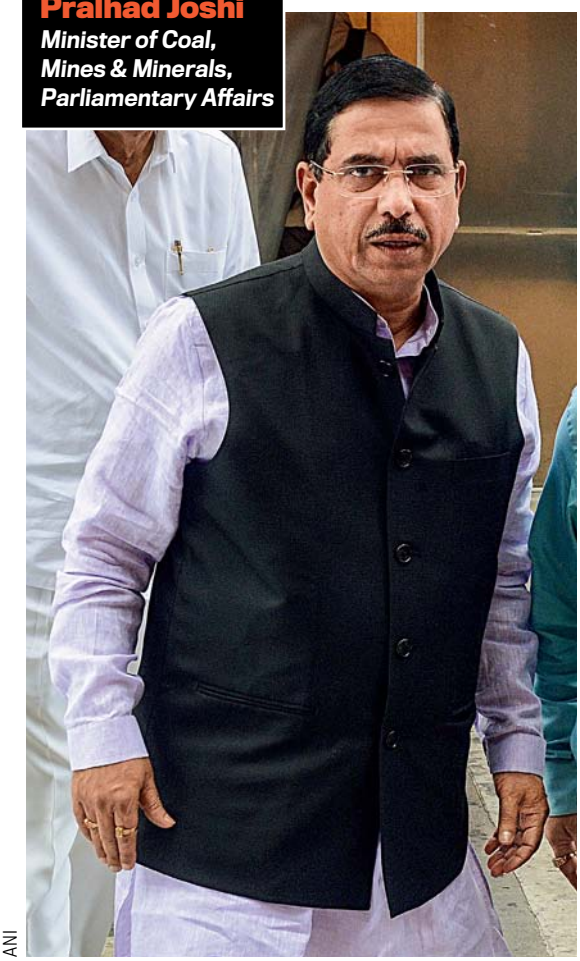
ALL BETS ON BLACK GOLD

This summer's coal crisis was met with increased production. The coal ministry is also trying to ease the functioning of private players in mining

By Anilesh S. Mahajan

IF ANYONE FACED the heat this summer, it was Pralhad Joshi—the country's coal, mines and minerals minister—after electricity generation companies panicked as their coal stocks started depleting faster. An early onset of summer, coupled with that unlocking of the economy heightened the demand for electricity and thus coal to run thermal power plants. Joshi had no option but to push public sector Coal India Limited (CIL) along with other private miners to ramp up production. In April, the country added 66.2 million tonnes of coal. For the future, Joshi got environment clearances for 20 mines with annual capacity of 22 MT. Besides, 36 other mines with a sanctioned capacity of 333 MT are at different stages of development.

Pralhad Joshi
Minister of Coal, Mines & Minerals, Parliamentary Affairs



ANI

Joshi has been inviting private investment through liberalised commercial mining. Forty-two mines have been auctioned, but most private players still regard a lack of data repository for coal and minerals, poor land laws, low demand (this year's spike is an exception) and export restrictions as big hurdles. The domination of CIL—which gets all projects on nomination (without competition) basis—is also discouraging. However, Joshi is working to ease the problems private investors face. Last year, he reformed the Mines and Minerals Act, eased compliances, opened up more avenues for business and removed several processes.

Politically, Joshi is close to PM Modi and home minister Amit Shah, as well as to the RSS's Dattatreya Hosabale. He is the go-to person for the party's top leadership for insights into Karnataka politics. He is also considered an architect of the BJP's victory in the recent assembly election in Uttarakhand. ■

WHAT'S DONE

- Overhauled Mines & Minerals Act to cut down compliances, ensured procedural reforms
- 780 MT coal mined in 2021–22 is the record annual output as yet
- 42 coal mines are auctioned to private sector for commercial mining of coal

CHALLENGES AHEAD

- Country still lacks data repository of coal and mineral reserves
- Open acreage policy needed to encourage private investments in coal and mines
- Three crucial rail links needed to evacuate 440 MT coal annually from mines in Odisha, Chhattisgarh and Jharkhand